Thornbury Accounting Advisory
Transaction services and accounting

Greenhaul Waste Services Financial Statements Summary

Summary of audited FY25 results, FY26 forecast and pro forma credit metrics

Prepared for Quillwood Credit Partners
Prepared by Thornbury Accounting Advisory
29 August 2025
Version 1.0 (final)
Reference: TAA/QCP/GWS/2025-08/FS01
Date: 29 August 2025

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Borrower	Greenhaul Waste Services Pty Ltd
ABN	80 730 176 876
Registered office	41 Gilbert Road, Wingfield SA 5013
Sponsor	Ironleaf Partners Pty Ltd as manager of Ironleaf Partners Fund II
Proposed facility	A$57.0M senior secured acquisition term facility, 60 months
Financial year end	30 June
Auditor	Brandt Kessler Chartered Accountants
Report date	29 August 2025
Prepared by	Thornbury Accounting Advisory
Prepared for	Quillwood Credit Partners

Report details

1. Purpose, scope and basis of preparation

Quillwood Credit Partners has asked Thornbury Accounting Advisory to summarise the audited financial statements of Greenhaul Waste Services Pty Ltd and its controlled entities (the Group) for the year ended 30 June 2025 (FY25), together with the prior year comparative (FY24) and the FY26 forecast presented in the information memorandum dated 11 August 2025. The purpose is to support Quillwood Credit Partners in its assessment of a proposed A$57.0M senior secured acquisition term facility to fund the acquisition of the Group by Ironleaf Partners Fund II.

The FY24 and FY25 figures are drawn from the consolidated general purpose financial statements audited by Brandt Kessler Chartered Accountants. We have not re-performed the audit. Figures are presented in Australian dollars, in millions, and are rounded to one decimal place, so some totals may differ from the sum of components by A$0.1M. The FY26 figures are a forecast prepared by management and the sponsor. They are unaudited and have not been reviewed by us beyond the arithmetic and consistency checks described in Section 8.

This report does not reflect the independent enterprise valuation, the plant and fleet valuation or the technical and capex review, all of which have been commissioned but had not been delivered at the date of this report. It also does not rely on the financial due diligence report prepared by Ellery Shaw Advisory for the sponsor, which we have not seen. No normalisation adjustments have been made to reported earnings in this report.

2. Summary of findings

- Revenue grew from A$97.8M in FY24 to A$106.9M in FY25 (9.3%). Reported EBITDA grew from A$11.9M to A$13.6M (14.3%), lifting the EBITDA margin from 12.2% to 12.7%.
- The FY26 forecast shows revenue of A$118.4M (10.8% growth) and EBITDA of A$15.2M (11.8% growth), a margin of 12.8%. The forecast therefore requires earnings growth slightly below the FY25 outturn, but on a larger revenue base and with commodity prices assumed conservatively.
- About 71% of FY26 forecast revenue is contracted or recurring collection revenue. The balance is transactional skip bin and construction and demolition work and sales of recovered materials.
- Operating cash flow before interest and tax equalled 100% of EBITDA in FY25. After capital expenditure of A$7.4M, however, cash retained after interest and tax was thin, and the Group relied on a net A$2.2M of additional bank borrowings to fund capex, lease repayments and dividends.
- On a pro forma basis, net debt at close of A$56.0M represents 3.7x FY26 forecast EBITDA (4.1x FY25 EBITDA) and 50.9% of the A$112.0M enterprise value. FY26 interest cover is 3.2x and cash generation after debt service is close to nil.

- Leverage and cash headroom are limited. A shortfall of about 8% to FY26 forecast EBITDA would lift net leverage to 4.0x, and a shortfall of about 6% would reduce interest cover to 3.0x.

3. Group background

Greenhaul was founded in Adelaide in March 2009 by the Whitcombe family as a skip bin hire operator. It commissioned its materials recovery facility (MRF) at Wingfield SA in October 2015, acquired Central Highlands Waste Pty Ltd in June 2019 to establish a Victorian customer base, and opened the Dandenong South VIC depot in February 2022. The Group now operates three collection depots (Wingfield and Mount Gambier in South Australia, and Dandenong South in Victoria), the Wingfield MRF and a fleet of 74 collection vehicles. It employs 286 full-time equivalent staff and services approximately 3,400 commercial, construction and local government customers.

In July 2025 the founding shareholders executed a share sale agreement for the sale of the Group to Ironleaf Partners Fund II, subject to financing and customary conditions. Greenhaul Waste Services Pty Ltd is proposed to be the borrower following completion of the post-acquisition group restructure. The proposed post-completion board comprises Daniel Ingram (Managing Director and Chief Executive Officer), Priya Iredale (Executive Director and Chief Financial Officer) and Stephen Kallis (Non-executive Chair, Ironleaf Partners nominee).

4. Income statement

4.1 Revenue by stream

Revenue stream (A$M)	FY24 audited	FY25 audited	FY26 forecast
Contracted and recurring collection	68.0	74.9	84.1
Transactional skip bin and C&D	24.6	26.4	28.9
Sales of recovered materials	5.2	5.6	5.4
Total revenue	97.8	106.9	118.4
Recurring share of revenue (%)	69.5	70.1	71.0

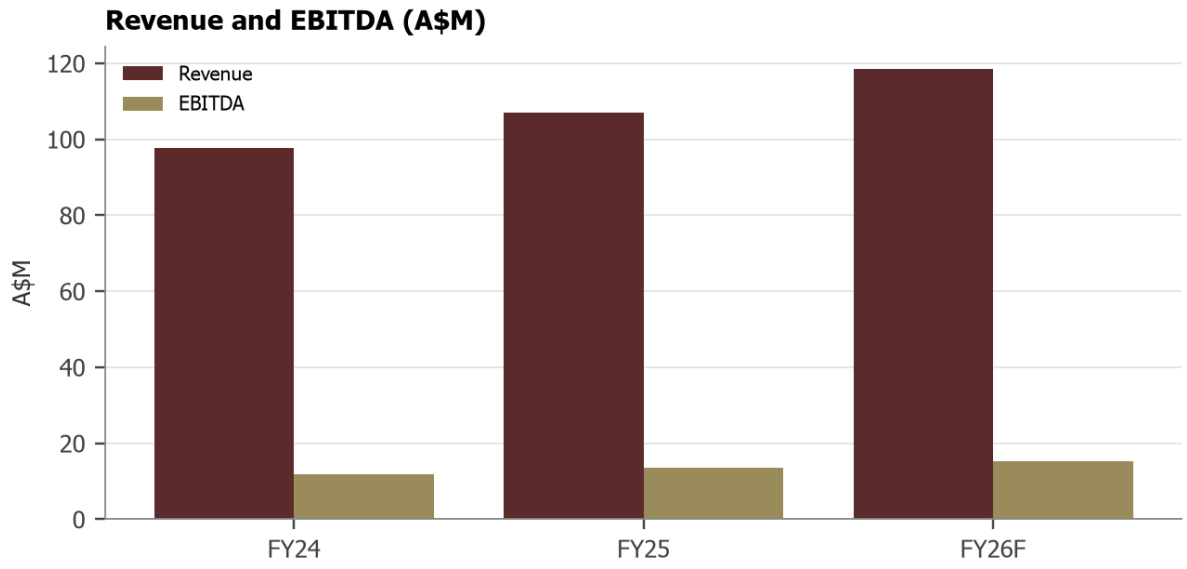
Revenue by stream. Recurring share is calculated on total revenue.

Recurring collection revenue grew faster than total revenue in each period, and its share of revenue has risen from 69.5% to a forecast 71.0%. Transactional work, which is exposed to construction and demolition activity, remains about a quarter of revenue. Recovered materials revenue is forecast to fall slightly in FY26 because cardboard, metals and plastics prices have been assumed at conservative levels in the sponsor case for that year only. We note that the assumption is not carried beyond FY26 in the material provided to us.

4.2 Summary income statement

A$M, year to 30 June	FY24 audited	FY25 audited	FY26 forecast
Revenue	97.8	106.9	118.4
Employee benefits	(30.6)	(33.2)	(36.4)
Disposal, landfill and levies	(25.6)	(27.9)	(31.6)
Fuel and fleet running costs	(14.6)	(15.6)	(17.3)
Subcontractors and other direct costs	(7.7)	(8.3)	(9.1)
Overheads	(7.4)	(8.3)	(8.8)
EBITDA	11.9	13.6	15.2
Depreciation and amortisation	(6.1)	(6.6)	(7.2)
EBIT	5.8	7.0	8.0
Net finance costs	(3.0)	(3.1)	(4.8)
Profit before tax	2.8	3.9	3.2
Income tax expense	(0.8)	(1.2)	(1.0)
Net profit after tax	2.0	2.7	2.2
EBITDA margin (%)	12.2	12.7	12.8

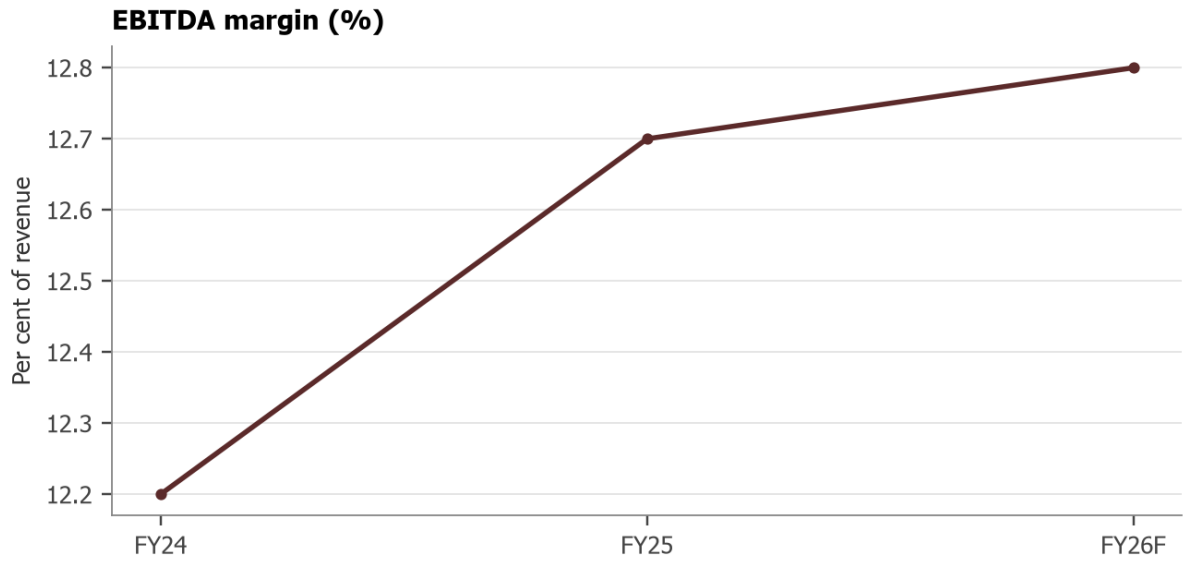
Summary income statement. FY26 finance costs reflect interest on the proposed facility only (see Section 8).



Revenue and EBITDA, FY24 and FY25 audited, FY26 forecast.

Disposal costs and landfill levies are the largest cost after labour, at 26.1% of FY25 revenue, and rise to 26.7% of revenue in the FY26 forecast. Fuel and fleet costs were 14.6% of FY25 revenue and are forecast at 14.6% in FY26. The forecast margin improvement of 0.1 percentage points therefore relies mainly on operating leverage in overheads, which fall from 7.8% to 7.4% of revenue, offset by a higher disposal cost ratio. Whether levy increases can be passed through under contract is the main margin sensitivity (Section 10).

Net profit after tax is modest relative to EBITDA because of depreciation of the fleet and plant and the cost of existing debt. The FY26 forecast shows lower net profit than FY25 despite higher EBITDA, because annual interest on the proposed facility of about A$4.75M exceeds the Group's current finance costs. The forecast excludes amortisation of the A$1.14M establishment fee and other capitalised borrowing costs.



EBITDA margin, FY24 to FY26 forecast.

5. Balance sheet

A$M, at 30 June	2024 audited	2025 audited
Cash and cash equivalents	1.9	2.4
Trade and other receivables	14.1	15.6
Inventories	1.0	1.1
Other current assets	0.9	1.0
Property, plant and equipment	55.6	58.4
Right-of-use assets	9.4	9.7
Goodwill and intangibles	6.2	6.2
Deferred tax assets	1.4	1.5
Total assets	90.5	95.9
Trade and other payables	(13.0)	(14.2)
Borrowings	(29.3)	(31.5)
Lease liabilities	(10.0)	(10.2)
Provisions	(8.0)	(8.5)
Deferred tax liabilities	(2.5)	(2.6)
Total liabilities	(62.8)	(67.0)
Net assets	27.7	28.9

Consolidated balance sheet. Current and non-current portions are combined for borrowings, leases and provisions; see Section 7.

Net assets increased by A$1.2M, being FY25 profit of A$2.7M less dividends of A$1.5M. Property, plant and equipment is the dominant asset and includes the collection fleet, bins and containers, the Wingfield MRF plant and the depot improvements. The information memorandum cites an indicative orderly liquidation value (OLV) for plant and fleet of A$24.8M, against a carrying value for property, plant and equipment of A$58.4M. The OLV is indicative only and is subject to the independent plant and fleet valuation, which had not been received at the date of this report.

Receivables were equivalent to 53 days of revenue at 30 June 2025, compared with 53 days at 30 June 2024, which indicates stable collection across a customer base that includes local government and large commercial accounts. Goodwill and intangibles of A$6.2M relate to the 2019 acquisition of Central Highlands Waste Pty Ltd and were unchanged in the year. Tangible net assets were therefore A$22.7M at 30 June 2025.

6. Cash flow

A$M, year to 30 June	FY25 audited	FY26 forecast
EBITDA	13.6	15.2
Change in working capital	(0.5)	(0.5)
Change in provisions	0.5	0.3
Operating cash flow before interest and tax	13.6	15.0
Interest paid	(3.1)	(4.8)
Income tax paid	(1.2)	(1.0)
Net operating cash flow	9.3	9.2
Maintenance capital expenditure	(5.6)	(6.1)
Growth capital expenditure	(1.8)	0.0
Lease principal repayments	(2.1)	(2.3)
Scheduled debt amortisation (1.0% p.a.)	0.0	(0.6)
Net bank borrowings drawn	2.2	0.0
Dividends paid	(1.5)	0.0
Net change in cash	0.5	0.2

Summary cash flow. FY26 is a forecast on the proposed capital structure and excludes transaction flows.

In FY25 the Group converted 100% of EBITDA to operating cash flow before interest and tax, helped by a A$0.5M increase in provisions that offset a A$0.5M working capital outflow. After interest and tax, net operating cash flow of A$9.3M was insufficient to cover capital expenditure of A$7.4M, lease principal of A$2.1M and dividends of A$1.5M, and the A$0.5M increase in cash was funded by A$2.2M of net new bank borrowings.

The FY26 forecast shows net operating cash flow of A$9.2M. After maintenance capital expenditure of A$6.1M, lease principal of A$2.3M and scheduled amortisation of A$0.6M, cash retained is A$0.2M. The forecast assumes no growth capital expenditure and no distributions. Free cash flow after debt service is therefore sensitive to small variances in EBITDA, working capital and capex timing, and the proposed facility has no cash sweep to absorb any surplus.

7. Notes to the financial statements

7.1 Accounting policies

The audited financial statements are general purpose statements prepared in accordance with Australian Accounting Standards and the Corporations Act 2001. Revenue from collection services is recognised as the service is performed. Skip bin hire and construction and demolition revenue is recognised on delivery, collection or tipping, and sales of recovered cardboard, metals and plastics are recognised on dispatch to the buyer. Contracted revenue is generally subject to annual indexation, the terms of which vary by contract and are discussed in Section 10.

Property, plant and equipment is carried at cost less depreciation. Leases are recognised under AASB 16, so EBITDA is stated before depreciation of right-of-use assets and before lease interest. Lease costs are therefore excluded from the EBITDA figures in this report. This matters for covenant definition: the FY25 lease principal of

A$2.1M and lease interest of about A$0.6M are real cash costs that do not reduce EBITDA.

7.2 Borrowings

At 30 June 2025 the Group had borrowings of A$31.5M, comprising a bank term loan of A$24.0M and equipment finance of A$7.5M. Of the total, A$3.0M is current and A$28.5M is non-current. The borrowings are secured over the Group's assets and are to be refinanced and discharged on completion of the acquisition. Net bank debt at 30 June 2025 was A$29.1M, or 2.1x FY25 EBITDA. Including lease liabilities of A$10.2M, net debt was A$39.3M, or 2.9x.

7.3 Leases

Lease liabilities of A$10.2M (A$2.2M current, A$8.0M non-current) relate mainly to depot premises and certain vehicles. During FY25 the Group added A$2.3M of new leases, recognised depreciation of right-of-use assets of about A$2.0M and repaid lease principal of A$2.1M. The proposed facility documentation should state whether lease liabilities are included in debt for covenant purposes.

7.4 Provisions

Provisions of A$8.5M comprise employee entitlements of A$7.1M (annual leave and other current entitlements of A$4.1M and long service leave of A$3.0M) and site make-good and rehabilitation provisions of A$1.4M. The make-good provision relates to leased depots and the MRF. We have not seen an independent assessment of the adequacy of the MRF provision, and recommend it be tested in the technical review.

7.5 Capital expenditure

FY25 capital expenditure was A$7.4M, of which A$5.6M was maintenance (principally fleet replacement and bin renewal) and A$1.8M was growth. FY26 maintenance capital expenditure is forecast at A$6.1M, or 5.2% of forecast revenue, with no growth capital expenditure. With 74 vehicles in the fleet, the Group's replacement cycle will determine whether A$6.1M is sufficient, and the independent technical and capex adviser, Corrigan Mott Engineering, is expected to comment on this.

7.6 Contingent liabilities, related parties and subsequent events

- Contingent liabilities: the audited statements disclose no material contingent liabilities. The Wingfield MRF operates under an EPA licence, and fire, contamination or licence breach events could give rise to remediation or penalty costs that are not reflected in the provisions above.
- Related parties: dividends of A$1.5M were paid to the founding shareholders in FY25. The Whitcombe family also has an interest in the share sale. We have not been provided with a schedule of related party leases or transactions for the depot sites and recommend that one be obtained.
- Subsequent events: the share sale agreement was executed in July 2025 and is subject to financing and customary conditions. Completion costs will be incurred in FY26.

8. Pro forma capital structure and credit metrics

8.1 Sources and uses

Sources	A$M	% of total
Senior secured term facility	57.0	48.7
Sponsor equity (Ironleaf Partners Fund II)	60.0	51.3
Total sources	**117.0**	**100.0**

Sources of funds

Uses	A$M	% of total
Enterprise value (including refinancing of existing bank debt)	112.0	95.7
Cash to balance sheet	1.0	0.9
Transaction costs and fees	4.0	3.4
Total uses	**117.0**	**100.0**

Uses of funds

The A$112.0M enterprise value represents 7.4x FY26 forecast EBITDA and 8.2x FY25 EBITDA. The facility of A$57.0M is 50.9% of enterprise value and sponsor equity is 51.3% of total funding. The A$4.0M of transaction costs includes the 2.00% establishment fee of A$1.14M. Net debt at close is A$56.0M, being the facility less A$1.0M of balance sheet cash.

8.2 Credit metrics

Metric	FY25 pro forma	FY26 forecast
EBITDA (A$M)	13.6	15.2
Net debt / EBITDA (x)	4.1	3.7
Gross debt / EBITDA (x)	4.2	3.8
EBITDA / interest (x)	2.9	3.2
(EBITDA less maintenance capex) / interest (x)	1.7	1.9
Enterprise value / EBITDA (x)	8.2	7.4
Facility / enterprise value (%)	50.9	50.9

Credit metrics on the proposed capital structure. FY25 pro forma applies the proposed facility to audited FY25 EBITDA.

Interest of about A$4.75M is based on the A$57.0M facility at 3 month BBSW of approximately 3.60% plus the indicative 4.75% margin, with commitment fees excluded because the facility is expected to be fully drawn. A different BBSW outcome will change interest cover. The interest cover ratio in this report is calculated on senior facility interest only and excludes lease interest, in line with the FY26 interest cover of 3.2x quoted in the information memorandum. If lease interest of about A$0.6M were included, FY26 interest cover would be approximately 2.8x. The definition of interest and EBITDA for covenant testing therefore needs to be settled before the facility is documented.

8.3 Earnings sensitivity

FY26 EBITDA change	EBITDA (A$M)	Net debt / EBITDA (x)	EBITDA / interest (x)
Forecast	15.2	3.7	3.2
Down 5%	14.4	3.9	3.0
Down 10%	13.7	4.1	2.9
Down 15%	12.9	4.3	2.7

Sensitivity of leverage and interest cover to EBITDA, holding net debt at A$56.0M and interest at A$4.75M.

FY25 EBITDA of A$13.6M is 10.5% below the FY26 forecast. If FY26 EBITDA merely repeated FY25, net leverage would be 4.1x and interest cover 2.9x. Covenant levels were not set at the date of this report, so we express headroom as the EBITDA shortfall required to reach round-number thresholds: 4.0x net leverage is reached at about 7.9% below forecast and 3.0x interest cover at about 6.3% below forecast.

9. Quality of the financial information

- Audit status: FY24 and FY25 are audited by Brandt Kessler Chartered Accountants. FY26 is unaudited.
- Arithmetic: we recomputed totals, margins, working capital days and credit metrics from the underlying figures and found them consistent with the key figures in the information memorandum.
- Reconciliation: the FY25 cash flow reconciles to the movement in cash, and the balance sheet movements reconcile to profit, dividends and the cash flow, within rounding.
- Normalisation: no adjustments for one-off costs, owner remuneration or related party arrangements have been made. These items are a matter for the financial due diligence process and could move reported EBITDA in either direction.
- Segment information: the Group does not report profitability by depot or by customer type. Margin by stream, in particular the MRF contribution and the transactional business, cannot be confirmed from the information provided.

10. Key financial risks

- Landfill levy and regulatory change: increases to South Australian or Victorian waste levies, or tightened recycling standards, may compress margins if they are not passed through under contract. Disposal costs are 26.1% of revenue and rise in the forecast.
- Commodity prices: recovered materials revenue of A$5.4M in FY26 is volatile. The conservative price assumption applies to FY26 only, and it is not evident that it is sustained thereafter.
- Construction exposure: transactional skip bin and construction and demolition revenue of A$28.9M in FY26 is exposed to a downturn in construction activity.
- Fleet, fuel and labour: diesel price movements, vehicle replacement cycles and driver availability may erode EBITDA where contract indexation lags cost increases.
- Environmental and operational: the Wingfield MRF carries fire, contamination and licence compliance risk. Insurance and EPA licence conditions should be reviewed.
- Leverage and cash generation: net leverage of 3.7x at close, thin free cash flow after debt service and limited headroom to likely covenant levels leave little capacity to absorb an earnings shortfall.

11. Matters for Quillwood Credit Partners to consider

- Obtain the audited financial statements, signed audit opinion and management representation letter for FY24 and FY25 directly from Brandt Kessler Chartered Accountants, and confirm no modified opinion or emphasis of matter.
- Obtain and review the Ellery Shaw Advisory financial due diligence report, in particular any normalisation adjustments to FY25 EBITDA and the quality of earnings by revenue stream.
- Settle the covenant definitions of EBITDA, interest and debt, including the treatment of AASB 16 leases, before covenant levels are agreed.
- Request a monthly FY26 cash flow forecast that includes working capital, capex phasing and transaction costs, and a downside case that includes levy increases and lower commodity prices.
- Await the independent enterprise valuation, plant and fleet valuation and technical and capex reports before relying on the A$24.8M OLV or the A$6.1M maintenance capex assumption.
- Request a schedule of related party leases and transactions and an updated contract register showing indexation and levy pass-through terms for the recurring revenue base.

12. Limitations

This report has been prepared solely for Quillwood Credit Partners for the purpose stated in Section 1 and should not be relied upon by any other party. It is based on information provided by the Group, the sponsor and the information memorandum dated 11 August 2025, which we have not independently verified except as stated. The FY26 figures are forecasts, and actual results will differ, possibly materially. Nothing in this report is a recommendation to lend.

13. Sign-off

Prepared by	Thornbury Accounting Advisory
Engagement partner	Meredith Aldous, Partner
Reviewer	Callum Ferreira, Senior Manager
Date	29 August 2025
Version	1.0 (final)

Report sign-off